

TRAINING DOCUMENT · SKILLCLOUD ACADEMY

All names, data, and circumstances are fictional. For educational use only.

BROKER COMPENSATION ADVISORY

Reference: C.A.R. Form BCA (Training Summary)

1. PROPERTY & PARTIES

Date Prepared:	September 24, 2025
Property Address:	4827 Rolando Blvd, San Diego, CA 92115
Seller(s):	Daniel Herrera and Carmen Herrera
Listing Agent:	Sofia Reyes (DRE #02156789) · Phone: (619) 555-0312
Listing Brokerage:	Berkshire Hathaway HomeServices California Properties (DRE #01317331)

2. IMPORTANT ADVISORY ON BROKER COMPENSATION

This advisory is provided to inform Seller(s) about how real estate broker compensation works in California. Following the 2024 National Association of Realtors (NAR) settlement and related industry changes, transparency around broker compensation has become a key component of the listing process.

Key Principle: Real estate commissions and fees are not set by law and are fully negotiable between the parties. No regulatory body or trade association sets or mandates commission rates.

3. LISTING BROKER COMPENSATION TERMS

The compensation arrangement between the Seller(s) and the Listing Brokerage is as follows, as agreed in the Residential Listing Agreement (C.A.R. Form RLA):

Compensation Component	Rate / Amount	Details
Total Brokerage Fee	5.0%	Of accepted gross purchase price, payable at close of escrow
Listing Broker Portion	2.5%	Retained by Berkshire Hathaway HomeServices California Properties
Cooperating Broker Portion	2.5%	Offered to the buyer's broker (see Section 4 below)

4. OFFER OF COMPENSATION TO BUYER'S BROKER

Seller(s) have authorized the Listing Brokerage to offer compensation to cooperating brokerages who represent a buyer in this transaction. This offer will be communicated as follows:

Compensation Offered:	2.5% of the accepted gross purchase price
Published Via:	MLS (CRMLS / San Diego) — Seller authorizes disclosure of this offer in the MLS listing
Payable:	At close of escrow from Seller's proceeds through escrow

Seller(s) understand that:

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| ☒ A buyer may have a separate written agreement with their own broker regarding compensation. | ☒ The buyer's broker compensation may be paid by the buyer, the seller, or a combination of both. |
| ☒ A buyer may request that the seller pay or credit some or all of the buyer's broker compensation as a term of the purchase offer. | ☒ Seller is not obligated to accept any offer that includes a request to pay the buyer's broker compensation. |

5. COMMISSION IS NEGOTIABLE

Notice: The amount or rate of real estate commissions is not fixed by law. They are set by each Broker individually and may be negotiable between the Seller and the Broker. The compensation terms in this transaction were negotiated between Seller(s) and Berkshire Hathaway HomeServices California Properties and reflect the agreed-upon terms in the Residential Listing Agreement dated September 24, 2025.

6. SELLER ACKNOWLEDGMENT & SIGNATURES

By signing below, Seller(s) acknowledge that they have read and understand this Broker Compensation Advisory, that compensation terms were negotiated and agreed upon voluntarily, and that they have had the opportunity to ask questions about how broker compensation works in this transaction.

Daniel Herrera

Seller: Daniel Herrera · Date: 09/24/2025

Carmen Herrera

Seller: Carmen Herrera · Date: 09/24/2025

Sofia Reyes

Listing Agent: Sofia Reyes (DRE #02156789) · Date: 09/24/2025

4827 Rolando Blvd, San Diego, CA 92115 · Escrow #CTT-2025-07421
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